

NRP Zero

NRP

NRP Green Transition I AS

Investor Report 1Q-2024

Date of report: 15 May 2024

Disclaimer

This fund update has been prepared by NRP Zero AS (the "Manager"). The update solely aims to provide guidance and information. Under no circumstances is this update meant to be considered as a tool in financial or investment advising, hereunder recommendations of purchase or sale, with or without compensation, of financial instruments or other forms of financial assets.

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Fund Overview

Introduction

NRP Green Transition I AS is a closed-end venture capital fund dedicated to building a portfolio of Nordic industrial cleantech investment positions primarily through investments in shares and other equity and equity-like instruments (the "Fund").

The investment objective of the Fund is to achieve long term capital appreciation through making sustainable investments within the meaning of SFDR Article 2 (17) and build a diversified portfolio with an attractive risk/return profile, targeting a return on invested capital of 4.0x.

Through investing in capital light companies with moderate technical risk, the Fund aims to deliver positive impact and enhance long-term returns through a robust strategy and approach to active ownership.

General Information

Fund name	NRP Green Transition I AS
Fund manager	NRP Zero AS
Founder	NRP GT I AS
First close date	14 July 2022
Final close date	01 July 2024
First investment date	26 August 2022
Investment Period	Four (4) years from the original final closing date (14 July 2023)
Ordinary fund term	Ten (10) years from the original final closing date (14 July 2023)
Committed capital	NOK 446.6 million incl. founder commitment (as of fourth close)
Total target commitments	NOK 1,000 million (excl. founder commitment)
Maximum commitments	NOK 1,400 million (excl. founder commitment)
Shareholder structure	One Founder and 41 Fund investors (as of fourth close)
Fund leverage	Not permitted
Fund currency	NOK
Financial year-end	31 December
Legal incorporation	Norwegian limited liability company ("Aksjeselskap")
Accounting principles	Norwegian GAAP
Valuation principles	In accordance with IPEV Valuation Guidelines and Norwegian GAAP guidelines, and otherwise as stipulated in the Fund SHA (see Appendix 4 – Valuation Policy)
ESG principles	In accordance with Article 9 under the Sustainable Finance Disclosure Regulation ("SFDR")
Fund Board	Jonas Myklebost (Chairperson), Emil Sebastian Harberg, Lars Gjørsvad

Investment Mandate

Nature of investments	Long-term capital appreciation through equity and equity-related investments in small to medium sized industrial cleantech companies
Stage	Venture

Sector / Themes	Energy transition and resource efficiency
Geography	Nordic

Key Economic Terms of the Manager and Founder

Management fees	1.75%
Equity profit split	20%, subject to a return of 100% of paid-in capital plus an 8% hurdle. 50% catch-up.
Founder commitment	NOK 20 million (2% of total target commitments of NOK 1,000 million)

Service Providers

Auditor	Deloitte Norge AS
Business Management	NRP Business Management AS
Depository	View Procurator AS
Legal counsel	Wikborg Rein Advokatfirma AS and Advokatfirmaet Selmer AS

Committees

Investor Committee	Ragnvald Risan, Andreas Wold-Olsen, Carl Petter Finne
Investment Committee	Adele Christensen Os (Head), Andrew Robbins, Carl Hall, Oscar Spieler
Compliance Committee	Hilde Høksnes (Head), Andreas Marø, Charmaine Lee
Valuation Committee	Jonas Myklebost (Head), Emil Sebastian Harberg, Andreas Marø

Investment Strategy

The Fund seeks to build a diverse portfolio of industrial cleantech companies in the Nordics that delivers a positive impact on environmental, social and governance matters and provides the Fund investors with long-term capital appreciation with best-in-class risk-adjusted returns. To achieve this, the Fund is looking for businesses with the following common features:

- Entrepreneurial management team with execution capabilities and track-record;
- Business model that contributes to resource efficiency or accelerates the energy transition;
- Proven technology, product or service on the brink of commercialization or having reached the commercialization phase with moderate technical risk;
- Asset-light business model with a clear competitive advantage that enables a scalable growth potential;
- Ownership plan that can be successfully effectuated with limited reliance on government or public institutions (i.e. in relation to subsidies, framework amendments, licenses/permits);
- More than one revenue stream, hereunder the potential of selling multiple products, services or technologies to multiple markets; and
- Businesses that can be positioned for divestment to industrial buyers

An important part of the Manager's investment philosophy is the "1x/4x" principle: in every investment the Manager makes, we strive to protect the invested capital (1x) and at the same time achieve 4x on invested capital. Through privately negotiated transactions, the Manager seeks to ensure the execution of rigorous and detail-oriented due diligence processes, agreement with existing shareholders and management on an ownership plan, and regulation of material terms and conditions in the shareholders' agreement and subscription/investment agreement that provides the Fund with stronger control and economic rights relative to the shareholding in the company. Throughout the ownership period, the Manager aims to actively accelerate the growth potential of the business through board representation (directly or indirectly), participation in shareholder meetings and strategy meetings, and informal interaction with the management.

Sustainable Finance Disclosure Regulation (SFDR)

As the law "Offentliggjøringsforordningen", the SFDR in Norwegian and the taxonomy ("taksonomien") entered into force in Norway on 1 January 2023, the Board of NRP Zero AS in the Board meeting on 22 March 2023 officially approved of the Manager's operation of NRP Green Transition I as an "Article 9" fund, pursuant to (EU) 2019/2088 (SFDR) Article 9.

The Board thereby confirms the Fund's commitment to making sustainable investments as its objective pursuant cf. SFDR Article 2 (17), designating that the investments of the Fund, as set forth in the SFDR, shall follow good governance practices, contribute to an environmental objective, and/or social objective, and not significantly harm other environmental objective or social objectives.

Based on the above, the Board approved relevant amendments made to the Fund's SFDR disclosure documents and marketing materials, so that they are in coherence with the regulatory changes as of 1 January 2023.

This information is not, and does not purport to be, complete. Please refer to the Fund's Shareholder Agreement.

Fund Performance

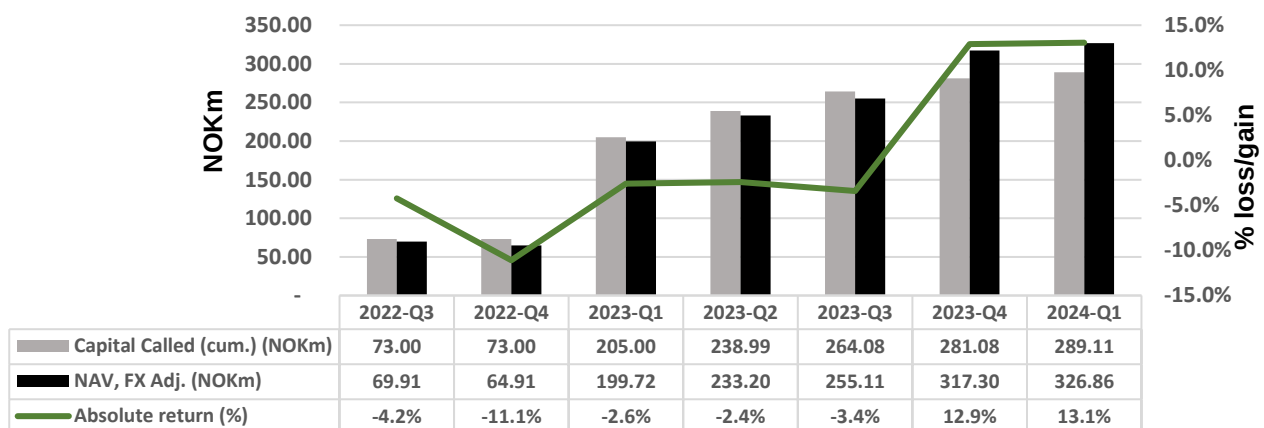
Fund Cash Flows

NOK million	Q4-2023	YTD	Accumulated	% of total commitments
Commitments	11.8	11.8	446.6	100.0%
Paid-in capital	8.0	8.0	289.1 ¹	64.7%
Recallable distributions	-	-	-	0.0%
Available for drawdown	-	-	157.5	35.3%
Invested in portfolio companies	3.2	3.2	258.3	57.8%
Additional allocated/committed	-	-	-	0.0%
Total investments	3.2	3.2	258.3	57.8%
Distributed to fund investors	-	-	-	0.0%
Distributed to founder	-	-	-	0.0%
Total distributions	-	-	-	0.0%

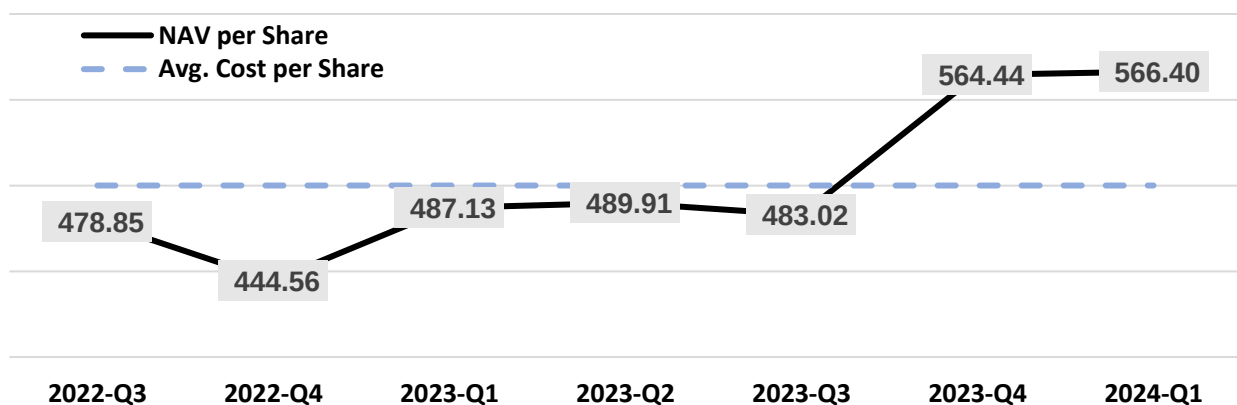
(1) NOK 20 million by Founder and NOK 269.1 million by Fund investors.

Fund Net Asset Value (NAV)^{1,2}

NAV vs Drawdowns (NOKm)



NAV per share (NOK/Share)



(1) Net Asset Value (NAV) = Fund Assets – Fund Liabilities. The Valuation Committee approved the NAV on 14. May 2024, and agrees that the procedures, principles and methodologies of valuation is in accordance with the Valuation Policy, and thus in-line with acceptable accounting practices and market practice; and the pricing information, the calculation and conclusions related to the valuation were sufficiently documented. Fund Assets = FMV of Investments + Cash & Cash Equivalents. Fund Liabilities = Short-Term Liabilities + Long-Term Liabilities. See section "Periodic reporting obligations" for further details.

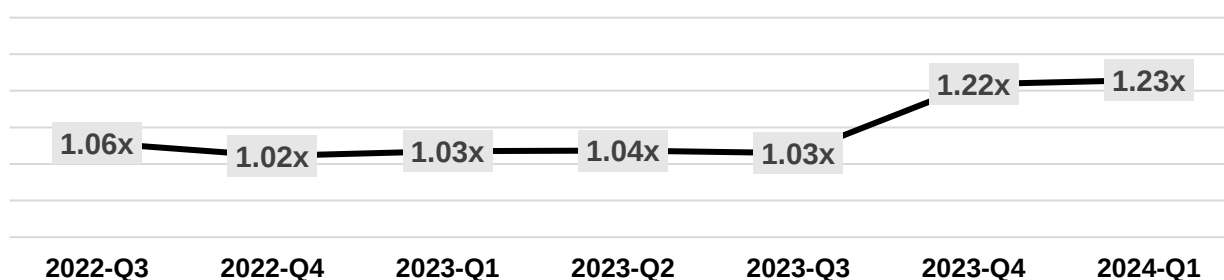
Fund Return Multiples

	Q4-2023 (reference)		Q1-2024	
	NOK-denominated	Local Currency	NOK-denominated	Local Currency
DPI (Distribution to Paid-in Capital)	0.00x	0.00x	0.00x	0.00x
RVPI (Residual Value ¹ to Paid-in Capital)	1.13x	1.13x	1.13x	1.12x
TVPI ² (Total Value to Paid-in Capital)	1.13x	1.13x	1.13x	1.12x

(1) Residual value or NAV (= Fund assets - Fund liabilities) is the fair market value of the Fund's investment positions plus other fund assets (e.g. cash) less fund liabilities (e.g. account payables).

(2) TVPI = DPI + RVPI

Gross multiple on invested capital in PortCos¹



(1) Considers the FX-adjusted value of each portfolio investment, i.e. "NOK-denominated"

Portfolio Overview

Company	HQ	Maturity at entry	Sector	Initial Investment	Total Investment by the Fund (NOKm)	Total Value (NOKm)	Total Value, Local Currency (NOKm)	Ownership (non-diluted)	Ownership (fully-diluted)	Main co-investors / shareholders	Fund board rights
Alva Industries AS	NO	Early-Venture	Material Science	26-Aug-22 ¹	60.31	60.31	60.31	22.22%	19.69%	Founders / Mgmt.; Statkraft Ventures; Drone Fund; Jakob Hatteland	2x board members
C-Leanship A/S	DK	Mid-Venture	Transport & Logistics	26-Aug-22 ¹	62.95	66.17	62.95	12.92% ²	12.92% ²	Saab Ventures; Wallenius Water	1x board member
Umoe Advanced Composites AS	NO	Late-Venture	Manufacturing & Industrial	10-Jan-2023	77.50	133.56	133.56	10.69%	10.33%	Umoe; Yield Capital; Mgmt.	1x board member
Futurehome AS	NO	Mid-Venture	Energy Efficiency	24-May-23	57.50	57.50	57.50	14.29% ²	14.29% ²	Founders / Mgmt; Møsbu; HCA Melbye	1x board member
Sum					258.25	317.54	314.32				

(1) Warehoused investments transferred to the fund in accordance with the Fund SHA.

(2) Excludes the ownership impact of the Fund's convertible debt positions and other equity instruments.

Executive Summary

Market Comment & Deal Pipeline

Key highlights on cleantech deal flow and sustainability regulatory updates in Q1 2024

- Based on the briefing from Cleantech for Europe, Q1-2024 proved to be another strong quarter for cleantech venture and growth investment in Europe and the Nordics, whereby total cleantech investment remained constant at € 2.8 billion compared to the previous quarter, with a slight decrease in total deal volume (from 185 to 159).¹
- Despite this, late-stage deal volume (series B and growth equity) increased, an indication of growing interest for cleantech investments in the scale-up stage.
- The quarter also registered an uptick in debt financing, with Sweden's Northvolt completing the largest debt financing round for a European cleantech scale-up to enable expansion of its gigafactory. The increased use of debt-related financing indicates growing maturity in the cleantech space and will be a key theme to watch out for moving forward.
- From a global comparative perspective, European cleantech investment continues to match the pace of climate investments in North America, with this quarter showing the narrowest funding gap. In certain industries such as sustainable aviation fuels or industrial scale e-fuel projects, European venture / growth investments continue to outstrip North American investments.

Regulatory / Policy developments

- The global, EU and Nordic landscape for cleantech innovation and policy continue to witness developments.
- In Europe, the European Parliament passed the Net Zero Industry Act (NZIA), which aims to facilitate the rapid deployment and scaling up of clean technologies. The Corporate Sustainability Due Diligence Directive (CSDDD), new legislation requiring companies to conduct human rights and environmental due diligence

was passed. Finally, European institutions reached a final agreement on a regulatory framework for the certification of carbon dioxide removal (CDR).

- In the Nordics, the Danish government commits 1 billion DKK to key green sectors in 2024 (i.e. production of electrolyzers, wind turbines etc.) to stay competitive amidst increasing global green subsidies. Sweden signs carbon capture and storage (CCS) agreement with Norway and Denmark, enabling the storage of captured Swedish carbon dioxide in Denmark and Norway, removing a barrier to a common Nordic market for carbon capture and storage.

Deal flow

The below figure exhibits the development of NRP Zero's deal flow from Q4-2023 to Q1-2024, split on industry, capital phase and country. The marginal deal flow development this quarter is a result of the Manager's increased focus on capital deployment and execution.

INDUSTRY					
	Q4-23	% share	(+/-)	Q1-24	% share
Category	Counter	%	Counter	Counter	%
Energy	358	35%	14	372	36%
Transportation & Logistics	195	19%	6	201	19%
Recycl.	133	13%	3	136	13%
Manufacturing & Industrial	86	9%	3	89	9%
Material Science	61	6%	1	62	6%
Other	177	18%	9	186	18%
Total	1,010	100%	36	1046	100%

CAPITAL PHASE					
	Q4-23	% share	(+/-)	Q1-24	% share
Category	Counter	%	Counter	Counter	%
Seed	577	57%	24	601	57%
Venture	328	32%	10	338	32%
Growth Equity	34	3%	1	35	3%
Private Equity	15	1%	0	15	1%
Publicly Listed	56	6%	1	57	5%
Total	1,010	100%	36	1,046	100%

COUNTRY					
	Q4-23	% share	(+/-)	Q1-24	% share
Category	Counter	%	Counter	Counter	%
Norway	413	41%	15	428	41%
Sweden	304	30%	7	311	30%
Denmark	101	10%	3	104	10%
Finland	95	9%	6	101	10%
Other	97	10%	5	102	10%
Total	1,010	100%	36	1046	100%

¹ EU Cleantech Q1 2024 Briefing (https://assets-global.website-files.com/626fd2b7495a6f980eab20c8/663e18d7fa0ab2545792aac5_Quarterly%20Briefing%20Q1%202024.pdf)

The below figure exhibits how the deal funnel has evolved from Q4-2023 to Q1-2024.

Process Deal View							
Category	Q4-23		Q4-23	(+/ -) Counter	Q1-24		Q1-24
	Active	Discarded	Sum		Active	Discarded	Sum
Origination	791	219	1,010	36	819	227	1,046
Mgmt Meeting	108	34	142	12	101	53	154
Pre DD	17	14	31	1	17	15	32
Presented to IC#1	7	2	9	0	7	2	9
Due Diligences	6	0	6	1	7	0	7
Presented to IC#2	5	0	5	0	5	0	5
Transaction Close	4	0	4	0	4	0	4

Key Events in Q1 2024

Fund achieved fourth close

On 22 January 2024, the Fund achieved fourth close, increasing total fund commitments from NOK 435m to 447m.

Convertible loan issue to CLS

Following the Fund's issuance of a convertible loan note of c. NOK 3.3m to CLS in Nov 2023, the Fund followed up with an injection of c. NOK 3.2m in March 2024 to fund the company's operational cash flows. The USD 2.0m loan was issued on the same terms as the previous participation with 12 months maturity and 42.9% effective p.a interest rate, divided among participating shareholders (SAAB Ventures, Wallenius Water, and the Fund pro rata).

Change in Board composition of the Fund

Due to the departure of Maria Lisiecka from the NRP Group, Lars Gjørsvad, Head of Compliance at the NRP Group replaced Lisiecka's place on the Board of the Fund.

Change in composition of the Compliance Committee

Due to the departure of Maria Lisiecka from the NRP Group, Charmaine Lee, Sustainability Lead at NRP Zero, replaced Lisiecka's place on the Compliance Committee.

Amendments to the Manager's valuation policy

The Valuation Policy, amended in accordance with the AIFM act, was approved by the Valuation Committee on 14th November 2023 and approved by the Fund's board on 8th February 2024.

Key Events after the Reporting Period

Contemplated investment opportunities

The Manager is working on two potential new investment opportunities.

- I. The Manager is contemplating an investment of NOK 30-40m into a Norwegian hardware-enabled SaaS company supplying innovative grid-enhancing solutions to optimize the efficiency of power grids. The Manager is in the due diligence phase with exclusivity rights and is working closely with co-investors to finalize the investment with a target close prior to the summer holiday.
- II. The Manager is contemplating an investment of NOK 30-40m into a Norwegian company specializing in unmanned solutions and autonomous navigation systems in the maritime space. The Manager is in the due diligence phase with exclusivity rights and is working closely with co-investors to finalize the investment with a target close prior to the summer holiday.

Portfolio Companies

Alva Industries AS (“Alva”)

Alva designs and manufactures high-performance electric propulsion systems for industrial, mobility and energy applications, using its own patented production technology (FiberPrinting™) to produce ironless stators, a key component in an electrical motor. The game plan is focused on accelerating Alva's position to become the leading producer of high-end electrical drive systems to the global UAV market and entering into new verticals with their proprietary technology.

The Fund acquired a 7.11% fully-diluted and 8.24% non-diluted ownership stake in Alva through participating with NOK 10 million² in an equity issue of NOK 36.3 million in April 2022. As part of this investment, NRP Zero agreed with Alva's CEO & Founder to take lead in a larger private placement to finance the growth strategy. The Fund co-led a Series A financing round with Statkraft Ventures and participated with NOK 50.0m in a total capital raise of NOK 114m that was concluded in March 2023.

Quarter in brief

- Entered into a cooperation agreement with a Norwegian company to commercialise a marine thruster.
- Entered into a strategic UAV development project with Aurora Flight Sciences, a subsidiary of Boeing.
- Recruited a new CCO and a senior business developer to the commercial team.

Key milestones to be achieved in the next quarter(s)

- Positioning for entry into new verticals (e.g. marine propulsion, industrial motors, gimbals).
- Deliver marine thrusters to Norwegian partner in accordance with PO and specs.
- Secure offset project with selected counterparties.

Company information

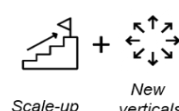
Website:	https://www.alvaindustries.com/
HQ:	Trondheim, Norway
No. of employees (EOY-23):	34
Sector:	Material science
Phase:	Early venture
Unaudited Revenues (2023)	NOK 7.5 million
Unaudited EBITDA (2023)	NOK (51.4) million

About Alva

Business model



Game plan



Market size



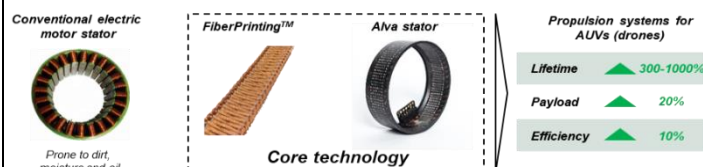
Product portfolio



Key customers



Technology and differentiation



ESG drivers and impact

Alva's iron-less motors helps develop the UAV industry to displace fossil driven alternatives by extending the range and longevity of UAVs

SDGs alignment: 9 and 12



² In accordance with the Fund Shareholder Agreement, Alva was transferred to the Fund at cost price plus 8% p.a. interest from the date it was acquired until it was transferred.

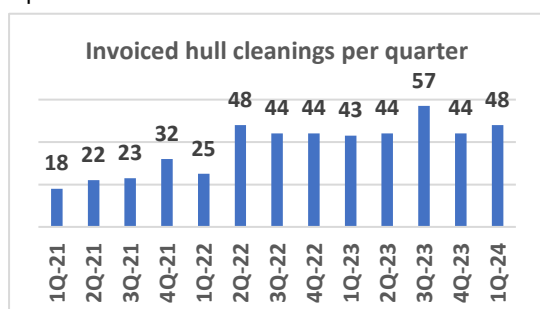
C-Leanship A/S (“CLS”)

CLS is a leading provider of underwater services using state of the art remotely operating vehicles (“ROV’s”) to deliver hull cleaning and inspections to marine vessels on a global scale. The company has its headquarters in Køge, Denmark, with three operating hubs in Singapore, Busan, and Antwerp. The game plan is focused on geographical expansion through rolling out existing product offering, expanding the product offering and entering into new customer segments.

The Fund has in total invested NOK 62.9m (USD 6.13m) in CLS since the initial investment of NOK 50.75m (USD 5m)³ was concluded in July 2022.

Quarter in brief

- New site manager for Antwerp started
- Improved operational envelope in Antwerp to clean under low visibility through sonar and tight quay conditions with modified umbilical
- EU Emissions Trading System (ETS) for shipping implemented from January 1st 2024
- IMO outlined net zero framework for shipping including tariff mechanism on GHG emissions
- During Q1-24, CLS conducted 48 hull cleanings equivalent to a 12% increase compared to Q4 2023. The increase in the quarter from Q4 23 is partly due to improved market conditions in the quarter.



- The underlying market for ROV hull cleaning remains strong as a key driver for shipping decarbonization. The implementation of the EU ETS scheme will further accelerate the demand for decarbonization solutions in shipping. Operational efficiency and scale will increase share of ROV hull cleaning market as % of the total hull cleaning market with ROV hull cleaning gaining competitiveness against diver alternatives.

Key milestone to be achieved in the next quarter(s)

- Propeller cleaner: ROV to be tested and calibrated ready for commercial cleanings by end of June '24.

- Sign additional inspection service agreements with major tanker and container liners.
- Secure frame agreement renewal with major container liner customer.
- Restructuring of commercial organization, incl new sales manager in Singapore.
- Launch customer portal.
- Achieve operational and technical performance in Antwerp at same level as Singapore and Korea.

Company information

Website:	https://c-leanship.com/
HQ:	Køge, Denmark
No. of employees (EOY-23):	64
Sector:	Transportation & Logistics
Phase:	Mid-Venture
Audited Revenues (2023)	NOK 48.9 million
Audited EBITDA (2023)	NOK (62.1) million

About CLS



Product portfolio



Key customers



Technology and differentiation

- Based on ROV technology from SAAB, CLS has developed a 2nd generation ROV hull cleaner with a closed loop filtration system
- Superior in terms of speed, reliability and accuracy, the ability to clean during port operation/bunkering and meet future environmental requirements, makes CLS's solution a game changer in biofouling management

ESG drivers and impact

CLS's state of the art ROVs reduce air and water pollution in the shipping sector. Effective cleaning of the hull also reduces a vessel's fuel consumption by ~5%

SDGs alignment: 13 and 14



³ In accordance with the Fund Shareholder Agreement, CLS was transferred to the Fund at cost price plus 8% p.a. interest from the date it was acquired until it was transferred.

Umoe Advanced Composites (“UAC”)

UAC develops and manufactures advanced lightweight pressure tanks in composite materials, such as glass fibre, and transportation modules for hydrogen, biogas and compressed natural gas, offering optimal solutions for containment, storage and large volume transportations. Glass fibre is significantly less costly than for example carbon fibre. Moreover, glass fibre can because of its weight advantage transport 2-3 times more hydrogen compared to similar-sized tanks in steel, representing major cost and environmental benefits. The game plan is catered around production scale-up in Norway, geographical expansion through JV production, technological innovation and considering vertical/horizontal growth avenues.

In January 2023, the Fund concluded a NOK 77.5 million investment in UAC, out of a total equity issue of NOK 85.0 million, representing a 10.7% fully diluted ownership stake.

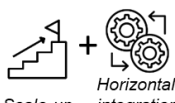
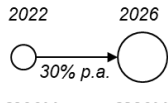
Quarter in brief

- Order intake YTD according to plan.
- Development of the J/V factory in China on track.

Key milestone to be achieved in the next quarter(s)

- IMDG approval granted for marine transportation of hydrogen.
- Continue product development to reach higher cylinder and lower weight cylinders.
- Continue organisational build up in the J/V factory in China for operational launch.
- Secure export licence for the China factory.
- Increase sales efforts for expansion to North America.

Company information

Website:	https://www.uac.no/
HQ:	Kristiansand, Norway
No. of employees (EOY-23):	59 (excl. UAC China JV)
Sector:	Manufacturing & Industrial
Phase:	Late Venture
Audited Revenues (2023)	NOK 331 million
Audited EBITDA (2023)	NOK 87.4 million
About UAC Business model  Product sales Game plan  Scale-up Horizontal integration Market size  2022 2026 30% p.a. €290M €830M	
Product portfolio   Storage and transport solutions for hydrogen, CNG, biogas	
Key customers 	
Technology and differentiation ▪ UAC has since inception in 2006 developed and refined glass fibre weaving to develop cylinders that can hold compressed gases at >425 bar at half the price of competing (carbon fibre) solutions.	
ESG drivers and impact By developing cost effective standardized containers for the transportation of hydrogen, UAC accelerates the adoption to clean hydrogen and enables the energy transition. SDGs alignment: 7 and 11  	

Futurehome ("FH")

Futurehome is a hardware enabled SAAS company producing smart energy management systems that help consumers centralise, automate, and monitor household appliances, offering greater flexibility and visibility in energy consumption and costs.

The company's core product is a smart hub ("Smarthub II") that allows users to connect and control a wide range of energy consuming devices in their homes, including thermostats, water boiler relays, rotary dimmers, smart plugs, Home Area Network devices ("HAN"), mode switches, EV chargers, smoke detectors, motion cameras and locks. The hub can connect to both Futurehome products and third-party devices. The game plan is catered around geographical expansion to Nordic and European markets, commercialization of the EV charger, introduction of the AI-enabled optimization service and positioning for the flexibility market in the long term.

In May-23, the Fund concluded an investment in Futurehome of NOK 50m (split across two tranches of NOK 25m each), representing 14.3% fully-diluted ownership stake. In December-23, the Fund participated with NOK 7.5m in a NOK 32m convertible loan note issued by the company to resolve a short-term liquidity shortfall and facilitate the launch of FH Charge in 1Q-24.

Quarter in brief

- Successful launch and sale of more than 4,700 EV Chargers.
- Onboarded more than 450 installer companies to ramp up sales of EV Charger and Charge Plus.
- Completed Futurehome software integration on certain Glen Dimplex/Nobø hardware.

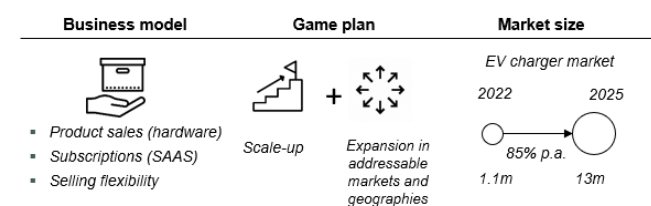
Key milestone to be achieved in the next quarter(s)

- Achieve purchase orders from the partnership with Glen Dimplex (achieved).
- Strengthening of the company's presence and sales in Sweden and Finland.
- Strengthening of energy management software functionality.
- Continue onboarding of new installer companies in Norway.
- Commence initiatives to increase recurring revenue stream.
- Activate promotion of safety & security value proposal.

Company information

Website:	https://www.futurehome.io/en/
HQ:	Oslo, Norway
No. of employees (EOY-23):	58 (incl. FTE-equivalent consultants)
Sector:	Manufacturing & Energy Efficiency
Phase:	Venture
Audited Revenues (2023)	NOK 35.1 million
Audited EBITDA (2023)	NOK (79.4) million

About Futurehome



(1) EV Charger market in Europe, # of units sold. Source: EY

Product portfolio



Key customers



Technology and differentiation

- Futurehome's energy management solution is centered around a smart centralized hub that offers household energy management solutions in a safe and secure way
- Unique ability to sell flexibility to local and national grid owners (with incentives to household)

ESG drivers and impact

By offering substantial energy savings to households through lower energy consumption, Futurehome will enable the transition to sustainable cities and urban communities through building smarter homes.

SDGs alignment: 7 and 11



Periodic Reporting Obligations

Tax share value: When calculating the taxable net wealth for the shareholders in the Fund, please use NOK 97.7947 as the taxable value per share as of 01.01.2024. Please note that the tax share value of an investment has not been audited, and there may be changes if we receive new information from the portfolio companies.

Annual ESG report: In accordance with regulatory requirements, the report will be delivered to the Fund investors by 30 June 2024.

Assets subject to special arrangements due to illiquidity (AIF § 4-3(1.a)): None of the Fund's assets are subject to special arrangements arising from their illiquid nature.

Liquidity Management (AIF § 4-3(1.b)): The Fund is an unleveraged closed-ended AIF and thus this disclosure is not applicable.

Risk Management (AIF § 4-3(1.c)):

Risk profile: An investment in the Fund carries a high degree of risk. For more information on risk factors, please see section 5.3, 8 and 10.2.3 in the information memorandum of the Fund.

The assessment of risk will be an integral part of the due diligence process carried out in conjunction with each investment in the portfolio. The Manager has the overall responsibility for risk management following duties pursuant to the AIFM Act and as further described in the Fund Shareholder Agreement, the Fund Management Agreement and the Information Memorandum. The Manager seeks to identify and mitigate risk factors to reduce risk, increase value, and lower transaction costs. Further, the Manager has integrated sustainability risks into the investment decision-making process as further described in section 10.2.3 of the IM.

Risk Management Systems: In the Alternative Investment Funds Act (AIFM Act) § 3-7 it is stated that the AIF manager shall have a risk management function that is functionally and hierarchically separated from the manager's operational activities, including portfolio management. In NRP Zero this is, among other things, carried out by having separate leaders for the Portfolio Management and the Risk Management functions. The Risk Management function shall not perform any tasks that may be in conflict with the operational activities. The Board of NRP Zero has also adopted instructions and a routine collection in accordance with AIF act of 20 June 2014 no. 28, regulations to the AIFM act of 26 June 2014 no. 877, EU directive 2011/61/EU on AIFMD and AIFMD's associated regulation 231/2013.

The Risk management function's main task is to identify, manage and monitor all relevant and potential risks associated with the portfolio management of the funds that the Company manages. Central to this work is to facilitate, follow up and control the manager's due diligence process in the implementation of new investments. With due diligence means review, evaluation and control of the investment object's legal,

technical, financial and other essential elements before the investment decision.

The Risk Management function's aim is also to support the management team in the identification and reduction of risk.

The Board of NRP Zero has established a Risk Policy for the Fund. Central to the Risk Policy is the AIF's investment mandate, and in addition the Risk Policy contains other qualitative and quantitative management frameworks (as presented in the disclosed investor material).

Given the entry of force of the SFDR into Norway, the risk management function ensures that the Company considers sustainability risks when complying with the general requirements of the duties it performs under AIFMD Article 57.

It will work with the Company's management to integrate sustainability risks into its activities and investment strategies, and ensure that the necessary procedures and processes are in place to enable the Company to effectively manage the exposure of sustainability risks for each of the funds managed.

The Fund has its own depositary who will check the Fund's cash flows, that payments from investors in connection with subscriptions for shares have been received and that all liquid funds are booked in accounts opened in the Fund's name, amongst others.

Reporting: Ongoing reporting to the responsible functions is a key part of the Risk Management function. The purpose of these reports is to document compliance to the relevant commitments and mandates, to document non-compliance and to establish reporting lines for handling exceptions. The Risk Management function reports as follows (non-exhaustive list):

- To the compliance function of the Manager (monthly)
- To the portfolio manager of the Manager (monthly)
- To investors in the AIF (quarterly through this report)
- To the Board of the AIF (quarterly through this report and otherwise semi-annually)
- To the Board of the Manager (quarterly through this report and otherwise semi-annually)
- To the depositary (quarterly through this report and otherwise semi-annually)
- To the Financial Supervisory Authority (quarterly)

In addition, the Risk Management function is reporting continuously to the management team of the Manager and to the Depositary. The routines contain rules for escalation of the issues that the Risk Management function may uncover, including breach of an AIF's investment mandate and risk policy. The risk policy is reviewed on an annual basis.

Conflicts of Interest: AIF management entails several potential conflicts of interest that require transparency and information according to the AIF framework. The Fund shareholder agreement, adherence agreement, fund management agreement and information

memorandum describe such conflicts of interest and the management of these. All entities in the NRP Group have guidelines for managing conflicts of interest in their rules and procedures. All agreements involving the Fund and agreements between entities in the NRP Group are entered into on an arm's length principle.

Given the Company's investment mandate as an Article 9 Fund manager, the Risk Management function does not currently anticipate any conflicts of interest that may arise as a result of the integration of sustainability risks into the risk management processes, systems, and internal controls.

Borrowings and guarantees (AIF § 4-3(2)): In accordance with clause 7.4.1 in the Fund SHA, the Fund shall not borrow monies or in other ways deploy financial gearing. However, the Fund may establish short-term credit lines and other short-term loan facilities or bridging facilities to, among other things, cover ongoing operating cost and make investments between drawdowns, subject to any drawdown or utilisation of such credit lines, short-term loan facilities and bridging facilities being repaid within twelve (12) months after each relevant drawdown and utilisation. As of the end of the reporting period, the Fund has not established such short-term debt facilities.

Valuation / NAV Q1-24:

See section "*Fund Performance*" in this report for financial details.

The Valuation Committee approved the NAV on 14. May 2024, and agreed that the procedures, principles and methodologies of valuation are in accordance with the Valuation Policy, and thus in-line with acceptable accounting practices and market practice; and the pricing information, the calculation and conclusions related to the valuation were sufficiently documented.

The equity value of each investment position is determined on a stand-alone basis by using and combining latest share issue pricing levels and generally accepted valuation methods (incl. DCF, peer review, etc) without applying any discount for lack of liquidity, lack of control, size, the existence of any shareholders agreement or similar circumstances nor any premium for

potential synergies from a combination with another business.

Equity values are based on the fully diluted approach, where ordinary shares, preferred shares, convertible debt, options/warrants and other equity instruments are considered on an as-converted basis to determine the NAV or FMV per share. The NAV per share and NAV considers the FX adjusted value of each portfolio investment.

Fund Assets

Cash & Cash Eq. (incl. current assets) is valued in accordance with Norwegian GAAP and as presented through the quarterly financial statements prepared by the Fund's Business Manager (NRP Business Management AS).

The fair market value (FMV) of the Fund's ownership in:

- Alva Industries AS: Set to the Fund's cost price through considering the valuation methodology recent transaction in the company's equity with a qualitative assessment of 2023 performance and 2024 plans.
- C-Leanship A/S: Set to the Fund's cost price, adjusted for USD/NOK FX impact, through considering recent transaction in the company's equity, market approach and DCF analysis.
- Umoe Advanced Composites AS: FMV is set based on a valuation framework recommended by a third-party valuation advisor⁴.
- Futurehome AS: Set to the Fund's cost price through considering recent transaction in the company's equity, market approach and DCF analysis.

Fund liabilities:

Short-term liabilities are valued in accordance with Norwegian GAAP and as presented through the quarterly financial statements prepared by the Fund's Business Manager (NRP Business Management AS). The Fund (incl. affiliated entities) does not have any long-term liabilities.

⁴ For the avoidance of doubt, the third-party valuation advisor was not solely appointed by UAC, but by UAC and an unaffiliated party. The third-party

valuation advisor delivered the valuation report to both parties in December-23.